

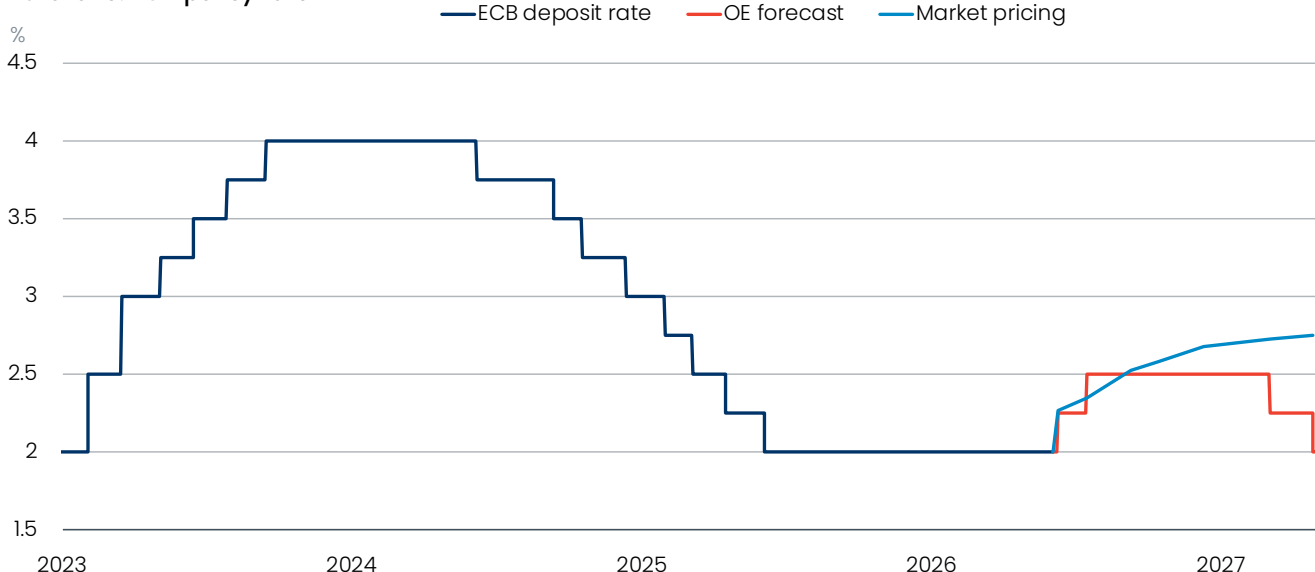
ECB set for policy recalibration not a tightening cycle

- We expect the ECB to hike its policy rates by 25bps at next week's meeting. The council has signalled that a more persistent energy price shock amid higher inflation expectations, broadening cost pressures and worsening supply bottlenecks will require some policy tightening to curtail medium-term inflation risks.
- The council will tread carefully. It will stick to its meeting-by-meeting approach while signalling that further hikes will likely be required, broadly validating market pricing of up to three 25bps hikes by year-end. This will also underpin updated staff forecasts showing weaker growth and more persistent above-2% inflation.
- We stick to our view of two hikes and think the second one is most likely in July. In our baseline, a deal will allow traffic through the Strait of Hormuz to resume in Q3. Against falling energy prices, weak growth and soft labour markets, hikes in September or beyond look unlikely. We expect a hawkish wait-and-see mode after the second hike in July.
- An earlier deal could still possibly avert the July hike, while a no-deal scenario could see oil prices up sharply eventually. In such a scenario, the ECB would likely push policy rates into restrictive territory, say 3%, rather than our current baseline of 2.5%, which marks the upper end of the neutral range.

Barring a last-minute deal to open the Strait of Hormuz, the ECB is guaranteed to tighten monetary policy at next week's meeting. The 25bps hike would lift the deposit rate to 2.25%. The ECB will stick to its meeting-by-meeting approach to policy setting, not pre-committing to further policy shifts given the prevailing uncertainty, but we think it will still signal that further hikes are likely.

Chart 1: We expect a more front-loaded and fewer rate hikes than markets price

Eurozone: ECB policy rate



Sources: Oxford Economics, Haver Analytics

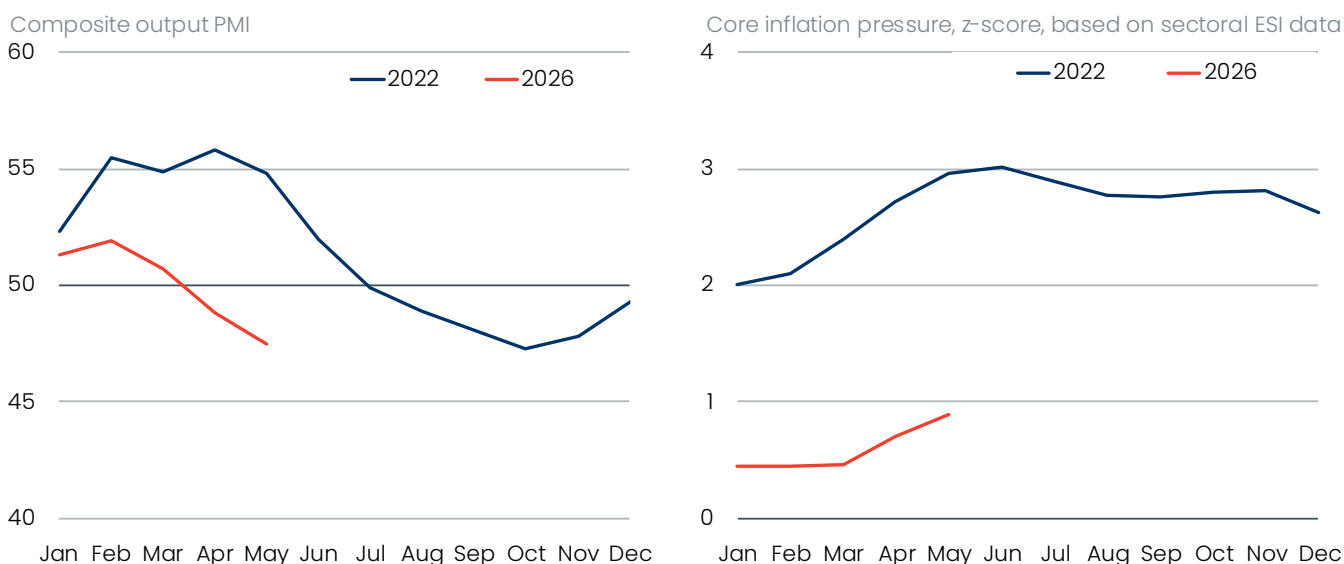
ECB isn't headed for a full tightening cycle (yet)

We think the ECB will frame its policy response as a policy recalibration, midway between a one-and-done hike and an outright series of hikes such as the tightening cycle that came in the wake of the 2022 energy crisis. It remains a balancing act for the ECB. The stagflationary nature of this new energy price shock means that rate hikes will amplify the adverse economic impact, but the council will still deem tightening necessary to avoid a more prolonged overshoot of inflation above the central bank's 2% target given its primary objective remains price stability.

At the same time, the ECB will likely argue or at least implicitly signal, correctly in our view, that the economic situation is materially different from 2022. The growth and inflation starting points are much more benign ([Chart 2](#)), the energy shock is less pervasive and unlikely to be as structural, and neither monetary nor fiscal policy are accommodative to begin with. So, a broad-based inflation surge still looks unlikely.

Chart 2: Surveys signal more front-loaded economic pain and weaker inflationary pressures than in 2022

Eurozone: Growth-inflation trade-off in 2022 and 2026



Sources: Oxford Economics, Haver Analytics, S&P Global

Nonetheless, the developments since the last ECB meeting in April will have shifted the ECB's assessment to this shock being a "persistent but medium-sized" one, in which case "some interest rate response may be appropriate, but it would be limited and not a full tightening cycle" as ECB's chief economist [Philipp Lane](#) put it.

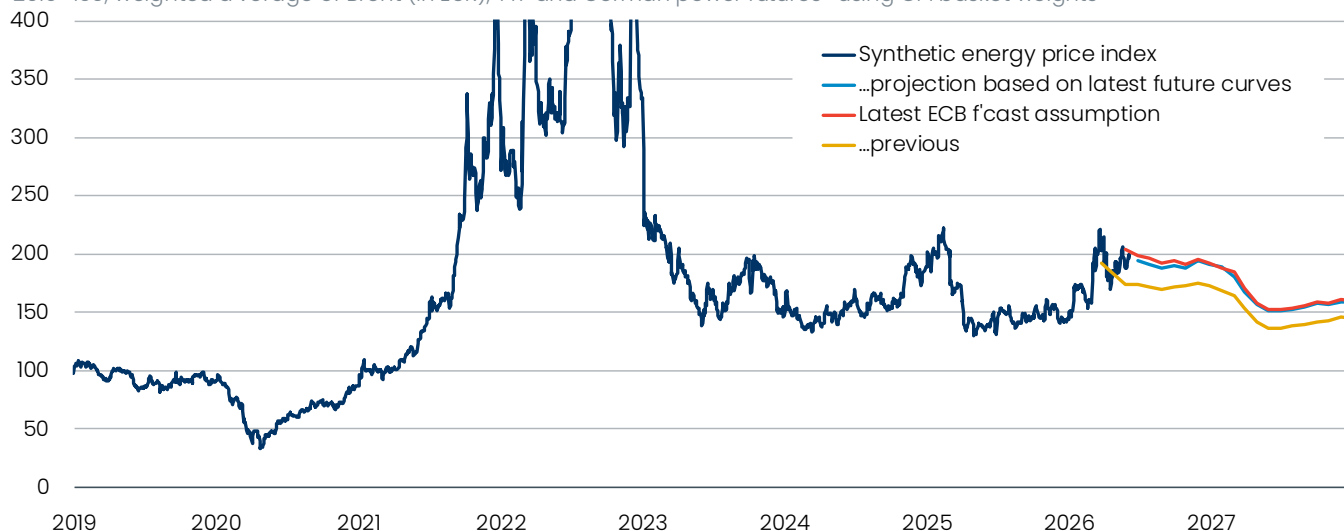
Indirect inflation effects are emerging fast but risks of large second round effects are contained

The main reason is that the energy price outlook has become more adverse, with prices being higher and staying above pre-war levels for much longer ([Chart 3](#)). The greater persistence of the shock is the bigger issue from the ECB's perspective as it will be expected to increase the passthrough to other parts of the economy, making it more likely that inflation will become sticky above the 2% target. For instance, markets price oil close to 80 USD/barrel throughout next year, while the ECB previous forecast from March now looks too optimistic, as it still assumed a swift fallback to below 70 USD/barrel, broadly in line with pre-war levels.

Chart 3: ECB's new forecasts assume that energy prices will be higher for longer

Eurozone: Synthetic energy price index

2019=100, weighted average of Brent (in EUR), TTF and German power futures using CPI basket weights



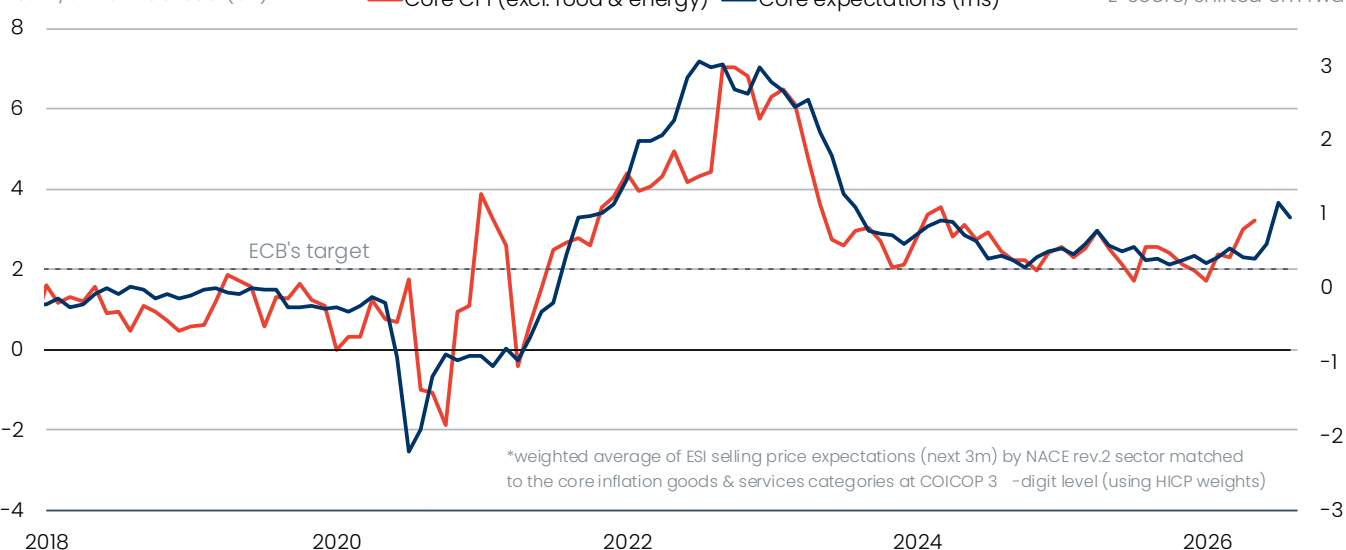
Sources: Oxford Economics, Haver Analytics

Moreover, there are now greater signs of growing indirect inflation effects. The initial shock seems to passthrough quickly to prices of energy-intensive goods and services. Headline inflation rose to 3.2% in May, a two-and-a-half-year high. Worryingly for the ECB, this was predominantly due to a 0.5ppts surge in [services inflation](#) to 3.5%. The council will likely see this as a sign of spreading price pressures, although inflation in more energy-exposed parts of the consumer basket such as energy and food steadied or even slowed and we are still missing the inflation details to fully assess the bounce in services inflation. But for council members still feeling burnt by the “too-late” policy tightening back in 2022, this is a hard to ignore development. Moreover, surveys generally support the notion that the acceleration in core inflation wasn't a one-off. While firms' price setting expectations remain contained compared to 2022, they are still very high by historic standards pointing to above-3% core inflation.

Chart 4: Firms' price expectations point to further pickup in core inflation

Eurozone: Core inflation price expectations

%3m/3m annualised (SA)



*weighted average of ESI selling price expectations (next 3m) by NACE rev.2 sector matched to the core inflation goods & services categories at COICOP 3-digit level (using HICP weights)

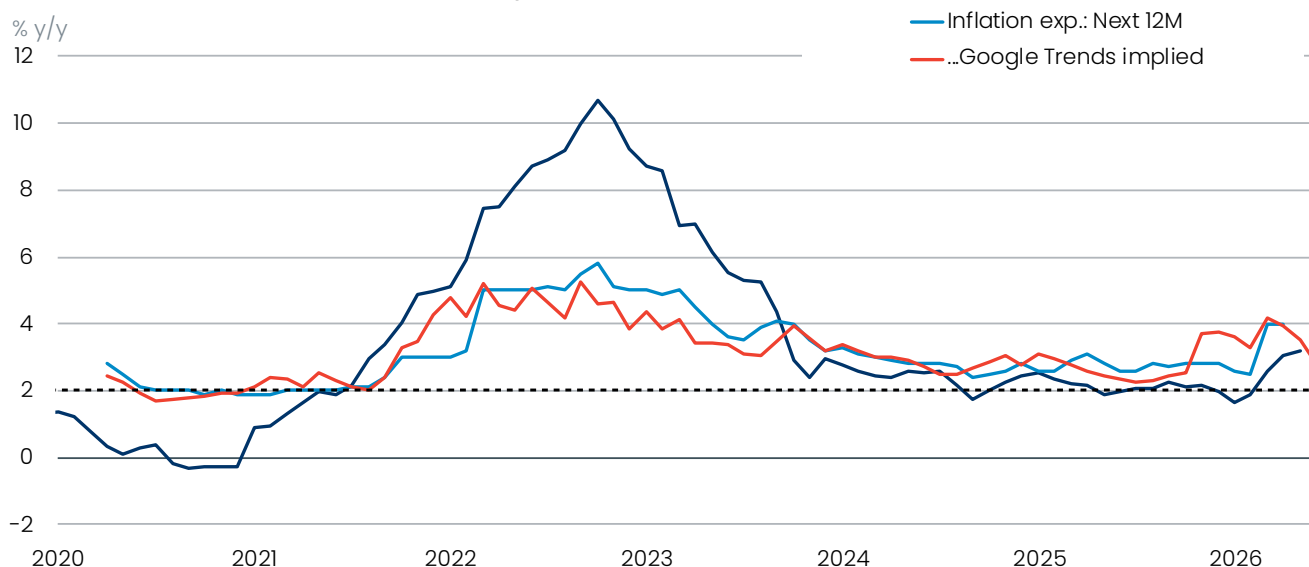
Sources: Oxford Economics, Haver Analytics

The sharp rise in consumer inflation expectations in the ECB's own survey data for March and [April](#) will also have added to worries that the energy price spike and its indirect inflationary effects will end up triggering second round inflation effects. However, more recent data from the ESI survey and consumers' online search interests suggest that inflation expectations may be starting to ease ([Chart 5](#)). This is likely in part due to the ceasefire aiding hopes of a conflict resolution and in part due to policy measures dampening fuel prices.

It's also worthwhile pointing out, that the same ECB survey shows income expectations in nominal terms being stable or weaker and unemployment expectations rising. This isn't an environment in which workers' and unions' bargaining position is strong enough to get fully compensated for their real income losses. This makes us think that there isn't enough evidence for the ECB policy response to do more than a recalibration accounting for strong second round effects. This is in line with what ECB executive board member Isabel Schnabel said in an [interview](#) recently. Her usually being on the more hawkish end of the spectrum within the council makes this noteworthy, suggesting there isn't yet a vocal minority in the council pushing to go beyond a policy recalibration.

Chart 5: Consumer inflation expectations may fall back a little

Eurozone: Inflation & consumer inflation expectations



Sources: Oxford Economics, Haver Analytics, Google Trends

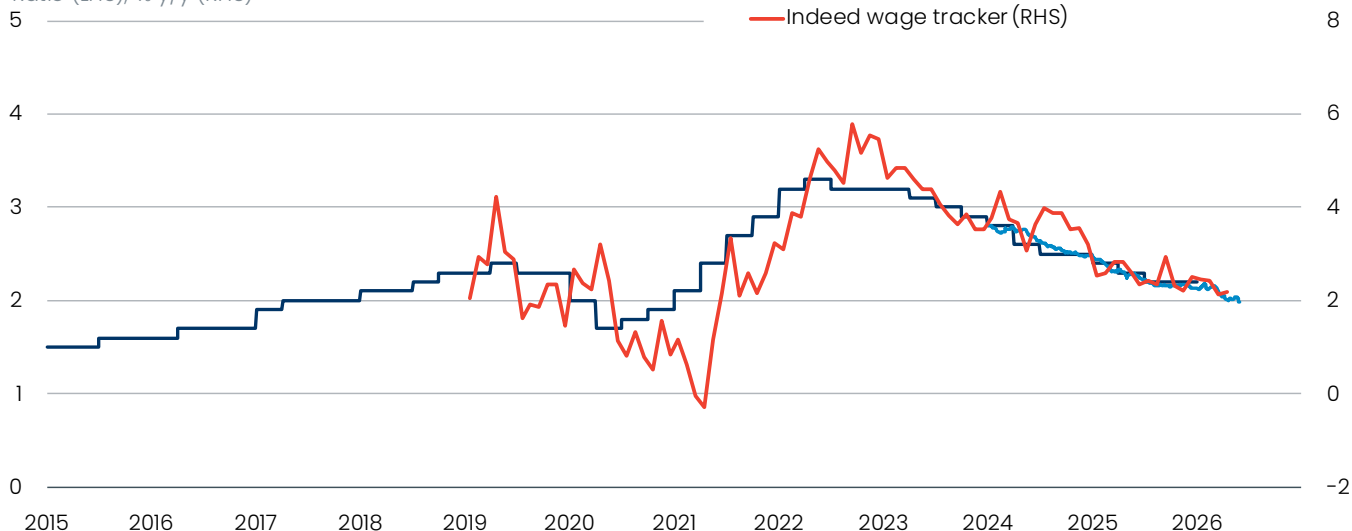
The most recent growth and labour market data should also severely curtail expectations of the energy shock morphing into an inflationary spiral. The Indeed wage tracker continued to follow an easing trend and the fall in job openings as well as weakness in firms' hiring intentions also point to a significant front-loaded softening of the labour market, not outright contractionary but not geared to support strong underlying wage growth ([Chart 6](#)).

Moreover, the latest surveys and monthly hard data point to a Q2 GDP contraction. This would leave the Eurozone economy in a technical recession in H1, after the Q1 print was revised down heavily to -0.2% q/q. Admittedly, this was solely due to a 12% contraction in Ireland in Q1 on the back of accounting issues, much overstating the hit to the domestic economy. The rest of the region grew around 0.2% q/q. Nonetheless, the Eurozone grew on average 0.7% q/q in the first three quarters of 2022, while we forecast the region to broadly stagnate over Q2 and Q3, excluding the distortions from Ireland. And we think risks of a contraction are high.

Chart 6: Leading wage indicators point to wage moderation not an inflation-driven pickup

Eurozone: Job vacancy rate and wage growth

Ratio (LHS), % y/y (RHS)



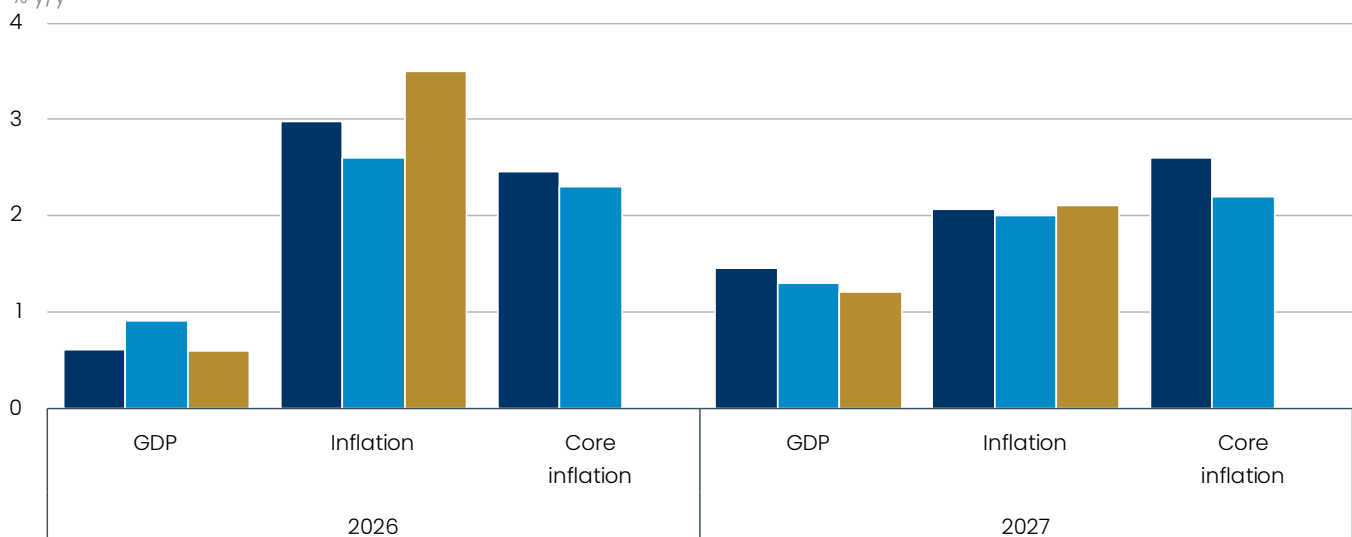
Sources: Oxford Economics, Haver Analytics

Putting it all together, the ECB's updated forecasts are set to see a lower growth and higher, more persistent inflation forecast bringing it closer to its own adverse scenario presented back in March ([Chart 7](#)). In fact, in some ways, the energy price assumptions are even more severe than the ECB's own adverse scenario given energy prices stay higher for much longer now. That could not only lift the ECB's headline inflation forecast for 2027 more than the scenario suggests but also the core inflation forecast, which would argue for signalling more policy tightening.

Chart 7: Our latest baseline already moved towards the ECB's adverse scenario with higher-for-longer inflation

Eurozone: Growth and inflation forecasts in comparison

% y/y



Sources: Oxford Economics, Haver Analytics, ECB

Headed for a front-loaded policy recalibration

Given this backdrop, the ECB will argue that it cannot look through the inflationary shock anymore and needs to tighten policy. The extend of the upcoming tightening remains largely contingent on the outlook for energy prices. However, the ECB will also closely watch the degree to which signs of indirect and second round inflation effects emerge and to what degree they are tempered by a weaker economy. This means that the ECB will stick to its meeting-by-meeting approach to policy setting not pre-committing to a policy path. But equally, ECB president Lagarde will make sure to flag that the ECB's forecasts assume up to three 25bps rate hikes until year end while we continue to see only two ([Chart 1](#)), signalling that more hikes are likely. So from that perspective, we expect the ECB to sound relatively hawkish.

However, we remain unconvinced that the ECB will follow through. We expect the central bank to hike again in July, bringing the deposit rate to 2.5%, the upper end of the range that can be considered broadly neutral. From there on, we think it may signal and wait-and-see approach to gauge how the conflict pans out and how the economy fares, heavily scrutinizing incoming data for signs of growing underlying inflation pressures.

Our own [assumption](#) for the conflict easing and the Strait of Hormuz reopening over the course of Q3 would suggest energy prices will be falling by the time the ECB meets in September. It seems unlikely to us that the central bank would continue hiking in that environment. We think this also argues against skipping the July meeting. In our view, the general hawkishness of the ECB would argue for a front-loaded set of two hikes for signalling purposes.

An earlier resumption of energy exports through the Strait of Hormuz could mean that the ECB ends up hiking only once. But risks are more skewed towards additional tightening, should no deal emerging push up energy prices further. Strong signs of higher-than-expected underlying inflation would likely also trigger additional hikes. We think the next plausible target would be a 3% policy target, well into restrictive territory.